also to recommend measures for streamlining credit, mobilizing rural savings, and improving the treasury arrangements in the states.

Recommendations of the Rural Banking Enquiry Committee

John Matthai's statement about removing the 'unsatisfactory' aspects of the Imperial Bank's working led to a series of consultations between the RBI, the government, and the Imperial Bank on the subject. John Matthai and the RBI Governor, B. Rama Rau, attended a meeting of the Central Board of the Imperial Bank in Bombay in October 1949. At this meeting a proposal to appoint the Imperial Bank's Chief Executive Officers after government or the RBI approval met with vehement opposition from the Imperial Bank's Board. Since informal consultations failed to resolve the impasse, Matthai and Rama Rau decided to refer this matter to the RBEC which the government had decided to set up.

The nationalization of the RBI had led to a greater awareness of the promotional role it could perform. Provision of adequate credit facilities in rural and semi-urban areas for financing of agriculture and mobilization of savings were the major problems at the time. In November 1949, the RBEC was appointed by the Government of India on the advice of the RBI. Purshotamdas was made the Chairman, a responsibility he accepted with some hesitance. The Vice Chairman was C.H. Bhabha and the members included B. Venkatappiah, Finance Secretary, Government of Bombay, Ram Gopal, V.R. Sonalkar, J.C. Ryan, and N.D. Nangia of the RBI who was the Member Secretary. The basic idea underlying the appointment of the Committee (i.e. that banking facilities should be extended so as to reach the rural population), could be traced to two immediate factors, namely, the depressed condition of the investment market and the situation created by the devaluation of the rupee.

Among the Committee's terms of reference was to consider the measures that could be immediately adopted for the extension of banking facilities in rural areas and to review the arrangements for the management of cash work at government treasuries and sub-treasuries. It was also to consider to what extent the banking facilities would be extended by entrusting the cash work at government treasuries and sub-treasuries at places where the work